PA 111 – Management of Organizations

I. Introduction
    A. The management discipline
    B. Organization in management
II. Evolution of Management Thought
    A. Classical School
    B. Human relations school
    C. Modern school
    D. Merging management
III. Metaphors of Organization
IV. Functions of Administration

Readings

- Readings in Human Behavior in Organizations - Acuna and Pilar
- Shafritz Jay
- Classics of Organization Theory - Harwood F. Merrill
- Classics in Management
- Koontz, Harold and O'Donnell – Principles of Management An Analysis of Managerial Functions

Jan. 22, 2026

History of Management

- Help us see what has worked and what has not worked (management theories and practices)
- Organized endeavors directed by people responsible for Planning, Organizing, Leading, Controlling
    - Road, Bridges and Tolls in Mesopotamia
    - The Egyptian Pyramids
    - The Great Wall of China
    - Coliseum of Rome

Ancient and Classical Contributors

- Sumerians - writing and trade
- Hammurabi - written commands and controls
- Nebuchadnezzar - Incentives
- Ancient Egyptians - Division of labor, coordination and span of control
- Sun Tzu - Division of labor, communication and coordination
- Han dynasty (206 BC - 220 AD) - Development of bureaucracy

- Ancient Greeks - Standardization
- Italians - Accounting, corporations, multinational corporations
- The pyramids are a particularly remarkable example of existence of management
- The construction of a single pyramid occupied more than 100,000 workers for 20 years
    - Managers told each worker what to do and to keep workers busy
    - Someone had to plan what has to be done, organize people and materials to do it, lead and direct the workers, and impose some controls to ensure that everything was done as planned
    - Division of labor, hierarchy
- The public and collective of waterways for the whole country and from the top could not be avoided because of technical economic factors
- Public land and waterways, railroads, telegraph, etc, must, in part, necessarily be administered in public and collective way; in part, such administration is technically expedient
- Collection of taxes
- The Pharaohs' Household
- Religion - receives a lot of resources from the pharaoh
    - The religious leader who tells the pharaoh
- Army
- Division of work
- Because management has been around for a while, it makes sense that the study of management is old
    - Supported by many managerial insights we can find in political, diplomatic, and military history and in philosophy, poetry, economics, and literature

Early Bureaucracy

- Roots in the early Chinese dynasties but only became fully developed during the Han dynasty (206 BC-220 AD)
- The idea was to train scholars n Confucian teachings and use those teachings to make decisions
- Unlike modern bureaucracies, this system was not formal but relied upon the discretion of the scholars themselves
- Meritocracy – selection for and then promotion within a bureaucracy was based on a test of Confucian teaching

1. Works of Micius (600 BC)

- May accomplish a circle and a square by their own dexterity
- With a system, even the unskilled may achieve the same result, through dexterity they have none

- Every craftsmen possesses a system as a model, are we not even less intelligent than a common craftsman
- The Greeks continued to develop the idea of division of labor based on Plato's recognition of human diversity. The great Greek philosopher Socrates stressed the development of managerial skills such as creating an atmosphere of information sharing and analysis
- The Romans' contribution to management was **standardization.** Because the Romans needed to administer a vast empire, they needed standardization of measures, weights, and coins. Romans also saw the birth of the corporation, in that many Roman companies sold stocks to the public

Adam Smith - Wealth of Nations

- Proposed the idea of specialization and coordination within corporations as a source of economic growth. Specialization and division of labor were Smith's major contributions to management thought.

Specialization

- Reduced the cost of goods
- Reduced the need for training
    - Workers needed to learn one portion of it
- Need to coordinate all the different tasks required a greater emphasis on management

The Italian Renaissance saw the reintroduction of classical knowledge and the emergence of new knowledge and learning, much of which had economic and business implications. The emergence of the basic printing press allowed for these ideas and knowledge to spread throughout Europe. The combination of these factors led to the creation of new wealth as a new emphasis on trade and wealth creation developed. In Italy, we see the emergence of modern enterprise and the emergence of the need for people to run these new enterprises

Wilson argued that administration is the most obvious part of the Government and the least discussions happen around it. He further says that despite being the executive, the operative and the most visible side of the govt and being as old as the gov itself it has remain hidden from the scrutiny and inspection of writer, authors and subject matter experts where it should have been the center of debates and researches

- Assign 3 readings
    - Taylor, gantt, gilbreth

Classics in Management

Frederick Winslow Taylor (57-106)

- The workmen of all classes are willing to devote all their energies to turning out maximum work possible → provide a suitable reward
- **High wages with low labor cost**
- Example provided: Bethlehem Steel Company
    - A man was selected among these men and given a better class of work with slightly higher wages → slightly stimulated them
- Percentage of the day required for rest
- Reward for work
- Each man's work was measured by itself
    - Only on few occasions were more than two men allowed to work on gang work
- Father of scientific management
    - Data-driven approaches to optimize work
    - Studies and experiments, selecting and training workers scientifically, fostering cooperation between management and workers, clearly dividing responsibilities
    - Maximize output with minimal effort
        - *One best way*
    - ***Labor Union***
- **What is scientific management**
    - A complete mental revolution on the part of these men as to their duties toward work, toward their fellow men, and toward their employees
    - Equally complete mental revolution on the part of those on the management's side
    - Management: for as large as profit as possible
    - Workmen: For as large wages as possible
    - **The surplus**
- **Principles of Scientific Management**
    - The increased productivity of man
    - Increased output per unit of human effort
    - Lies in our own inefficient systems of management
    - **Developing a science for every job element to replace rules-of-thumb**
    - **The scientific selection, training, and development of workers**
    - 1. Deliberately gather in all of the rule-of-thumb knowledge which is possessed by all the twenty different kinds of tradesmen who are at work in the establishment → replace the old rule-of-thumb
    - 2. Scientific selection and then the progressive development of the workmen

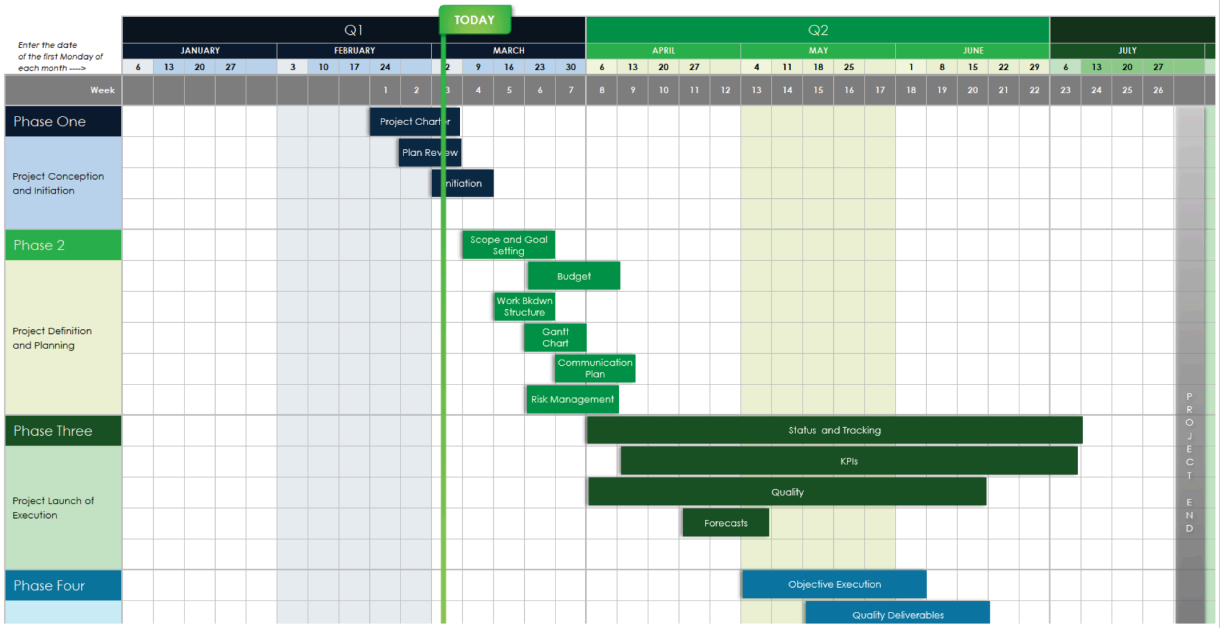
    - 3. Bring the scientifically selected workman and the science together (be brought together)
    - 4. Division of the work between the management and the men
- **Advantages**
    - Initiative of the workmen is obtained with absolute regularity, hard work, good-will and ingenuity → obtained with absolute regularity

Henry Laurence Gantt (107-131)

- Advanced practical tools for efficiency while humanizing management
- Invented the Gantt chart (visual bar for scheduling tasks, tracking progress against time, managing complex project)
- Gave major attention to the man who was doing it
- Use correct methods and skills
- Task and bonus system of wage payments
- **Training workmen in habits of industry and cooperation**
    - Industry, knowledge, and skills
    - A Bonus System of Rewarding Labor
        - Receive extra compensation
        - Bonus incentive, a proper instructor, very fair proportion of the unskilled
    - *Work in which we are interested and which holds our attention without any effort on our part, tires us much less than that we have to force ourselves to do.*
    - *The habit of doing promptly and to the best of his ability the work set before him*
- Bosses as Servants and Teachers
    - viewed supervisors not as authoritarian figures but as facilitators who serve workers by teaching optimal methods and removing barriers to success. This servant-leadership approach fostered cooperation, with bosses prioritizing worker development over mere oversight.
- Task Setting
    - task setting involved breaking work into standardized units with defined time, quality, and output expectations based on scientific analysis. Workers received clear instructions via task cards, ensuring everyone understood goals before starting.
- Standardization: expert and standard
    - where specialists determined the "one best way" for tasks through time studies, creating uniform processes, tools, and conditions. This replaced haphazard methods, enabling consistent high performance and fair measurement.

- Obstacles
    - He identified common hurdles like poor planning, inadequate tools, or untrained workers, urging managers to systematically eliminate them through analysis and support rather than blame.
- Helps
    - Gantt stressed providing "helps"—training, proper equipment, and incentives—to empower workers. Supervisors earned bonuses for enabling success, aligning management incentives with worker achievement.
- Day Work and Piece Work
    - Unlike pure piece-rate systems, Gantt's task-and-bonus model guaranteed day wages for standard performance, with bonuses (up to 20-50% extra) for exceeding tasks on time and quality. This motivated effort without punishing slower learners.
- The Parting of the Ways
    - This concept highlighted a critical divergence: traditional management relied on driving workers via penalties, while Gantt's path emphasized incentives, education, and mutual gains, leading to sustainable productivity and profits for all.

12-Month Gantt Chart Template



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<u>Jan. 27 Notes</u>

Frederick Winslow Taylor (1856-1915)

- March 20, 1856 in Pennsylvania, USA
- Mechanical engineer, production man, executive and consultant
- *"Father of the Scientific Management"*
    - *Depende raw sa kausap*
- 1911 – Principles of Scientific Management
- Time Study, Piece Work and the First Class Man
    - An excerpt from Taylor's famous paper, Shop Management, which he presented during a meeting of the American Society of Mechanical Engineers in June 1903 in New York
    - The Machinist Handbook
- *It is not only practicable but comparatively easy to obtain through a **systematic** and **scientific time study,** exact information as to how much of any given kind of work either a first-class or an average man can do in a day and with this information as a foundation, he has over and over again seen the fact demonstrated that*

*workmen of all classes are not only willing, but glad to give up all idea of soldiering and devote all of their energies to turning out the **maximum** work possible providing they are sure of a suitable permanent reward*

- Bethlehem Steel Company, Spring of 1899
    - Experiment: (1st) He placed an intelligent, college educated man in charge of progress in the line
    - He was taught how to determine how much time a first class man can do in a day
    - (2nd) This was achieved by timing a first class man with a stop watch while he was working fast. He did this by dividing the work into its elements and timing each element separately
    - **Two Important Elements**
    - **Changed mental attitude → toward their employers and their work**
- **SCIENTIFIC MANAGEMENT = COMPLETE REVOLUTION ON BOTH SIDES**
    - Not an efficiency device, or any kind of device, not a new system
    - Involves a complete mental revolution on the part of the working men engaged in any industry; a complete mental revolution on the part of these men as to their duties toward their work, fellow men and employees
    - Equally complete mental revolution on the part of management – foreman, superintendent, owner and board of directors
- **PAST**
    - Proper division of surplus resulting from the efforts between the management and the working men
    - Management: looking for high profit
    - Working men: looking for high wages
    - *What is surplus?*
- **The great revolution in the mental attitude**
    - Both parties take their eyes off the division of the surplus and together, turn their attention on how they can increase the size of the surplus
    - Instead of pulling against each other, they push each other towards the same direction. Substituted friendly cooperation and mutual helpfulness for antagonism
    - **Great Mental Revolution**
    - 1. There is this change that has taken place in the mental attitude to both the management and the men, both as to their duty to cooperate in producing the largest possible surplus
    - 2. As to the necessity for substituting exact scientific knowledge for opinions or the old rule of thumb or individual knowledge
- **The Principles of Scientific Management**

    - First presented at the first conference in October 1911
    - **Looks upon it at his duty to go slow instead of to go fast**
    - **That is our fault more than theirs that this fallacy prevails**
    - No one made a move to correct this fallacy
- *Increased output → Gives more work to more men*
- Great Cotton Industry (1840) 5000 cotton operatives
- Power machinery began to be introduced (Reaction) 5000 men knew that there would no longer be work for more than 1000 of them. So they did
- The increase of output merely means bringing more wealth into this world
- Second cause for going slow is due to us, inefficient systems of management
    - Piece Work System
        - Where a worker is paid a fixed piece rate for each output he/she produces
        - Differential rate system
        - One of the most popular type of piece work system
        - Creating a standard production output → Offering different rates for the same job
- Increase in efficiency; increase in output → Consumers are beneficiaries of this increase
- Greatest gain in scientific management → Harmony between ER and EE
- Advantages
    - Initiative of the workmen is obtained with absolute regularity
    - New and unheard burdens and duties which have never been performed before by the men on the management side were performed

<u>Jan. 29 Notes</u>

Principles of Scientific Management

- All workers of the Bethlehem Steel Company owned their own shovels
- What is the proper shovel-load?
- Science of shoveling was studied
- Two first-class shovelers were selected
- A man was tapped to time the motion of the participants and to count the shovel load
- Participants are expected to do their work at their ordinary fair pace
- They found out that the perfect shovel to use is the one which can hold 21 pound load – the standard, the best way

Bethlehem Steel Company Shovel Experiment

- The old cost for handling ton of materials was between 7 and 8 cents a ton; the new cost, after all the costs of the clerical work in the office and the tool room of teaching, the telephone system, the new implements and the higher wages were taken into consideration, was 3 and 4 cent a ton
- Bethlehem Steel Company was able to save cash

Shop Manufacturing Small Machines

- The owner of the establishment wanted to investigate Scientific Management
- Mr. Barth, friend of Taylor, investigated the scenario and suggested that he make a test to show the men in the shop what he could do
- Studied a particular machine and used four slide-rules
- Mr. Barth made prescriptions on how the machines could be speeded up for a particular work

Midvale Steel Works

- There was a fight between the foreman and his men
- Taylor obtained permission from the president of the company to spend more money in educating the foreman so that he should have at least a fraction of the knowledge of his men
- Their focus: to know the right combination of cutting angles you could cut steel and iron

Scientific Management

"What I am trying to show you is that the more intelligent…"

- Help of the man with the theoretical knowledge
- Every single workingman is raised up, developed, taught, so that he can do a higher, better, and a more interesting class of work than he could before
- Brotherly feeling exists in the Scientific Management. It is no longer a master and men relationship but a friend helping another friend
- *We do not know the best; we are sure that within two or three years a better method will be developed than we know of; but what we know is the result of a long series of experiments and careful study of every element connected with shop practice; these standards that lie before you are the result of these studies*
- *We ask you to learn how to use these standards as they are…*

Background on H.L. Gantt

- May 20, 1861 – November 23, 1919
- American mechanical and industrial engineer
- McDonogh School > John Hopkins University > Stevens Institute of Technology

- Teacher > draftsman > Mechanical engineer > assistant to the chief engineer > superintendent
- Midvale Steel Company > Simonds Rolling Company > Bethlehem Steel
- Consultant (1900) > Frankford Arsenal

Taylor

- Industrial revolution
- Lean labor force
- Factory Production

Gantt

- Work efficiency
- Employee motivation
- Productivity improvement

Taylor	Gantt
Tasks should be set only as the result of a scientific investigation	*Teach workmen how to use the improved methods, then induce them to do as they are taught*

Contributions of Gantt

- Task and bonus system
- Human relations dimension of management
- Social responsibility of business

Differential Piece-Rate System vis-a-vis Task and Bonus System

- The worker who exceeds the standard output within the stipulated time must be paid a high rate for high production (120%)
- On the other hand, the worker is paid a low rate if he fails to reach the level of output within the standard time (80%)
- The minimum wages of the worker are not guaranteed
- If the worker takes more than the standard time to complete the task, then he is paid only the time wages
- If the worker completes the task within the standard time, then he is also paid a bonus on 20% on the wages earned in addition to the time wages
- If the worker takes less than the standard time to complete a task, the wages are paid at high-piece rates

Instructor

- Transfers standard methods based on expert knowledge
- Knowledge, ability/habit, motivation

Task

- Provides definite operational steps, schedule, and evaluate mechanism
- Appropriate method of instruction + obedience on orders

Bonus

- Incorporates both piece work and day work wage system
- Cooperation among instructors and workmen

Human Relations Dimension of Management

- Whatever we do must be in accord with human nature. We cannot drive people; we must direct their development
- The general policy of the past has been to drive; but the era of force must give way to that of knowledge, and the policy of the future will be to teach and lead, to the advantage of all concerned

Social Responsibility of Business

"Imagine two nations as nearly identical…"

Corporate Social Responsibility

Gantt's Contribution

- The Gantt Chart

Readings: Medca, Gilbreth

FEB. 3 NOTES

On the Division of Labor – Charles Babbage

- Known as the father of the computer, also made significant contributions to economics and management
- One of his key ideas in this area was the division of labor, which he explored in his 1832 book *On the Economy of Machinery and Manufactures*
- Babbage supported and expanded on Adam Smith's idea of the division of labor, but added practical observations based on industrial settings.

1. Specialization Improves Efficiency

- Babbage observed that breaking work into smaller, specialized tasks allowed workers to become highly skilled and efficient in those tasks, increasing overall productivity
- Ex: In a pin factory, instead of one worker making an entire pin, several workers each perform one step – cutting, sharpening, packaging

2. Cost Efficiency

- Babbage introduced what is now called the Babbage Principle:

    - Highly skilled (and highly paid) workers should only perform tasks that require their level of skill. Less skilled (and less expensive) workers can do simpler tasks, reducing labor costs without sacrificing quality

3. Training Becomes Easier

- Because each worker only needs to learn one specific task, the training time and cost for new workers is reduced

4. Innovation and Mechanization

- Babbage noticed that dividing work into smaller, repeatable tasks made it easier to design machines to automate those tasks – which aligned with his own work on mechanical computing

5. Reduced Idle Time

- By organizing work so that each task flows efficiently to the next, time wasted between stems is minimized

Capt Henry Metcalfe

- October 29, 1847 – August 17, 1927 in New York
- An inventor and early organizational theorist (Pre-Classical Contributor)
- An American Army Ordinance Officer

Frankford Arsenal

- In late 1870s, Capt Metcalfe was appointed as the Officer-in-Charge in Frankford Arsenal
- A former US Army Ammunition Plant in Northeast Pennsylvania, Philadelphia

Basic Managerial Problems in Frankford Arsenal

- During his stint as OIC, Capt Metcalfe faced some basic managerial problems in the arsenal, particularly on the lack of written records
- He was the first to urge managers to record production events and experiences systematically so they could use the information to improve production processes
- Chatfield (1996) explained in that time and place the usual production records were informal memorandum books carried by shop foreman, only the most cursory data were kept on job orders, which were often verbally authorized and were sometimes lost track of entirely. Neither the foremen's jotting nor the formal shop ledger seemed a proper mechanism for on-the-spot recording of shop-floor events

"The Cost of Manufactures and the Administration of Workshops, Public and Private (1885)

- Metcalfe published a famous book called "The Cost of Manufactures and the Administration of Workshops, Public and Private (1885),

The Concept of "Science of Administration"

General Principle: Art seeks to produce certain effects; Science is principally concerned with investigating the causes of these effects.

According to Metcalfe,
The administration of arsenals and other workshops is in great measure an ART, depend upon the application to a great variety of cases of certain principles, which taken together, make up what may be called the Science of Administration

The Concept of Science of Administration

- He further suggested that these certain principles can be found by recording observations and experiences → continuous record of events
- He asserted that there is a science of administration based upon principles discoverable by diligent observation

Pre-Scientific Management Methods

- Metcalfe pioneered in the application of "pre-scientific management" methods to the problems of managerial control which were as follows:
    - System of administration of shop orders

System of Administration of Shop Orders

- After an analysis of the existing organization of the Arsenal, Metcalfe proposes a new organization and a system of administration of shop orders
- It involved the participation of the foreman, storekeeper and clerks, and consisted of the following books and papers to be kept:
    - By Foreman
        - Reports of fabrication
        - Reports of material returned to store
    - By Storekeepers
    - By Clerks

Use of Card System

- Metcalfe proposed the use of cards instead of book form of records
- He summarized the intention of this system

GILBRETH
ROBERT OWEN

<u>Feb 5 Notes</u>
Fatigue Study and Standardization
Husband and wife team who revolutionized the way people worked in both industrial environments and within the household. The Gilbreths were two of the world's greatest industrial management engineers of their time

Frank

- Whidden Construction Company

- Developed a multilevel scaffold
- Patented the waterproof cellar

Lilian

- Foor pedal trash can
- Refrigerator trays
- Wall light switch
- Can opener
- Waste water hose

Experimented on bricklaying
Experimenting with motion studies – efficiency studies
The one right way of performing a task could be standardized

The unnecessary movement by people can be detrimental to workplace productivity. Excess movement often leads to fatigue, and fatigue is the precursor to human error. Human error equates to a loss in productivity because of the inevitable decrease in quality product as well as factory delays and shutdowns

- In terms of motion by combining both Lilian's expertise in psychology and Frank's expertise in the construction world
- Collaborated on developing terminology to scientifically determine the one best way for employees of all ages and professions to complete their jobs in a way that benefitted both the employee themselves and the company
- - first began with using motion picture cameras to record the workers performing a task
- - observe the actions that the employee performed and apply any of the 18 behavioral units they called Therbligs to each step of the process
- - they were able to not only find a faster way of performing a task, but were able to simplify it in a way that reduced worker fatigue
- - **ERGONOMICS**

Reach – receiving an object with an empty hand
Grasp - grasping an object with the active hand
Transport loaded - moving an object using a hand motion
Hold - holding an object
Release Load
Preposition
Position

Unavoidable delay
Avoidable delay
Rest
Find

Each action was assigned a Therblig, or standardized activity as it is also called. Anything else that was taking place was either condensed or eliminated if possible. Creating a more efficient procedure.

- Were two of the first people to work on ergonomic activity in the workplace
- **ERGONOMICS:** act of applying both psychological and physiological principles to the design of products, processes, and systems in an attempt to reduce human error as well as improve the safety and comfort of the operator or worker
- Makes for **happier** and **healthier** employees
- **MOTION STUDIES CONCEPT**: develop a one best way for completing a task
    - Considered the human aspect of manufacturing
    - Welfare of the workers and prioritized efficiency over profit
    - Took scientific management and improved it for the benefit of workers
    - Happier employees

<u>THE PRINCIPLES OF MANAGEMENT</u>

Church AH and LP Alford

Alexander Hamilton Church and Leon P. Alford – two early 20th century thinkers whose systematic approach offered an alternative to Taylor's scientific management

Alexander Hamilton Church (1866-1936): British engineer and accounting innovator. Known for formalizing management practices–especially cost accounting–as a science. Collaborated with Leon P.Alford

Scientific Organization of Work

- Believed in analyzing workflows and breaking them down into methodical steps, but with flexibility to adapt to human and contextual factors

Cost and Accounting Integration

- Emphasized precise distribution of costs and expense management, creating a scientific framework for understanding operational finances

Human-Centered Flexibility

- Criticized Taylor's overly mechanistic model.

- Supported flexibility in industrial relations and considered managerial decisions should take human elements, like motivation, trust, and leadership personality, into account

Balanced Critique of Scientific Management

- Allord famously argued that success in labor efficiency was due more to leadership qualities of the company's president than the Tayloristic methods employed

Institutional Influence Through Professional Bodies

- Their ideas gained traction via organizations

Case Against Taylor

1. Treats Workers Like Machines
- Dehumanization: Workers are seen as parts of a machine, valued only for their efficiency and output
- Lack of individuality: It ignores workers' creativity, emotions, and social needs
2. Lack of Worker Involvement
- No participation: Decision-making is centralized; workers have no say in how work is done
- Low morale: Workers may feel alienated or unmotivated because their ideas and feedback are not considered
3. Overemphasis on Efficiency
- Monotonous work: Jobs are broken into repetitive, simple tasks, which can lead to boredom and job dissatisfaction
- Burnout risk: The pressure to maximize output can lead to physical and mental fatigue
4. Exploitative Nature
- Focus on profit: Management benefits more than workers from productivity gains
- Wage suppression: In some cases, workers' wages did not rise proportionally with the increase in productivity
5. Ignores Social Aspects of Work
- No team dynamics: It neglects the importance of collaboration, teamwork, and informal social structures
- Lack of motivation factors: It doesn't address intrinsic motivators like achievement, recognition, or personal growth
6. Resistance from Workers and Unions
- Distrust: Workers often resisted scientific management methods, fearing job loss due to time studies and standardization
- Union opposition: Trade unions criticized it for undermining job security and skilled labor
7. Short-term Gains, Long-term problems

- Initial productivity boost: often followed by decline due to dissatisfaction, high turnover, and worker unrest
- Rigid systems: The methods can be inflexible in fast-changing industrie

8. Inapplicability to All Types of Work

- Not suitable for creative or knowledge work

Henry Fayol

- French industrial and mining concern
- Managerial Function: members of the organization (body corporate)

Division of work

- Specialization
- New organs develop destined to replace the single one performing all functions in the primitive state
- Produce more and better work with the same effort
- Work should be divided among individuals and groups to ensure that effort and attention are focused on special portions of the task
- Presented work specialization as the best way to use the human resources of the organization

Authority and Responsibility

- Right to give orders and the power to exact obedience
- The need for sanction
- Involves being accountable and naturally associated with authority
- Whoever assumes authority also assumes responsibility

Discipline

- Obedience and respect for organizational rules ensure smooth operations
- Requires the common effort of workers
- Penalties should be applied judiciously to encourage this common effort

Unity of command

- Each employee reports to only one superior to avoid confusion
- Workers should receive orders from only one manager

Unity of direction

- Related activities should align under one plan and leader
- Moving towards a common objective in a common direction

Subordination of individual interests to the general interest

- Organizational goals take precedence over personal interests

Remuneration

- Fair pay motivates employees and fosters satisfaction

- Many variables such as cost of living, supply of qualified personnel, general business conditions, and success of the business, should be considered in determining a worker's rate of pay

Centralization

- Balance decision-making authority based on organizational size and needs.
- Lowering the importance of the subordinate role
- Decentralization is increasing the importance.
- The degree to which centralization/decentralization should be adopted depends on the specific organization in which the manager is working

Scalar chain

- Clear hierarchy from top to bottom enables communication
- Managers in hierarchies are part of a chain like authority scale
- Each manager, from the first line supervisor to the president, possess certain amount of authority
- The President possess the most authority; the first line supervisor the least
- Lower level managers should always keep upper level managers informed of their work activity
- The existence of a scalar chain and adherence to it are necessary if the organization is to be successful

Order

- Resources and people should be in the right place at the right time.
- Treated as equally as possible

Equity

- Kindness and justice toward employees build loyalty.

Stability of tenure of personnel

- Low turnover promotes efficiency and knowledge retention.
- Retaining productive employees should always be a high priority of management. Recruitment and Selection Costs, as well as increased product-reject rates are usually associated with hiring new workers

Initiative

- Encourage employees to take ideas and act on them.
- Management should take steps to encourage worker initiative, which is defined as new or additional work activity undertaken through self direction

Espirit de corps

- Team spirit and unity enhance morale and performance.
- Encourage harmony and general good feelings among employees

Economic, harmony,

FEB 10 NOTES

General and Industrial Administration

Functions of Management

- Planning is an attempt to predict the future of an organization and to determine the measures needed to transition to this new state.
- At the heart of the planning process is the development of a formal action plan
- Should be based on the resources available to the organization and on possible trends that may occur in the future
- Organizing is the activity by which the company receives everything it needs for its operation – raw materials, tools, capital, and personnel. Fayol pays serious attention to the so-called "Organizational structure" and assumes that the form of the organization depends mainly on the number of staff
- As the number of people increases, so do the various functions that are performed in the organization, respectively the need for control over the work of people increases

Commanding – the order aims to achieve the optimal effect of the efforts of workers, in the interest of the whole organization. Management success depends on a combination of personal qualities and knowledge of general principles of management. B

Concerning the Ordering Function – Fayol attaches great importance to the importance of motivation as well as to the delegation of staff rights. The manager can quickly turn a person with better unspeakable abilities into a first-class specialist, not doing all the work for him, but helping him through the method of prompting

Coordination –aims to ensure optimal harmony between the various activities of the organization. Good coordination facilitates the work and makes the functioning of the organization more successful. This function is designed to balance the different aspects of the work, for example, to observe, proportional spending in terms of available financial resources, production needs, stocks, and market demand

Control – is designed to ensure compliance with everything that happens in the organization with pre-defined plans, principles, and standards of work. In such a context, control aims to detect errors and weaknesses in the work to neutralize them and prevent them from recurring in the future

Fayol divided the range of activities undertaken within an industrial undertaking into six types

1. Technical activities
2. Commercial activities
3. Financial activities
4. Security activities
5. Accounting activities,

6. And managerial activities

FEB 12 NOTES

Lyndall Urwick

Principles of Organization

1. Objective - every organization and every part of the organization must be an expression of the purpose of the undertaking concerned, or it is meaningless and therefore redundant
   The enterprise should set up certain aims for the achievement of which various departments should work. A common goal is devised for the business as a whole and the organization is set up to achieve that goal
2. Specialization - The activities of every member of any organized group should be confined, as far as possible, to the performance of a single function
   The organization should be set up in such a way that every individual should be assigned a duty according to his skill and qualification. The person should continue the same work so that he specializes in his work. This helps in increasing production in the concern
3. Co-ordination - The purpose of organizing per se, as distinguished from the purpose of the undertaking, is to facilitate co-ordination: unity of effort
   of different activities is an important principle of the organization
4. Authority and Responsibility - In every organized group the supreme authority must rest somewhere. There should be a clear line of authority to every individual in the group. The responsibility of the superior for the acts of the subordinate is absolute.
5. Definition - The content of each position, both the duties involved, the authority and responsibility contemplated and the relationships with other positions should be clearly defined in writing and published to all concerned. The scope of authority and responsibility should be clearly defined. Every person should know his work with definiteness
6. Span of control - No person should supervise more than five, or at most, six direct subordinates whose work interlocks
   Span of control means how many subordinates can be supervised by a supervisor
7. Balance - essential that the various units of an organization should be kept in balance. The principle means that assignment of work should be such that every person should be given only that much work which he can perform well. Some person is over worked and the other is under-worked, then the work will suffer in both the situations. The work should be divided in such a way that everybody should be able to give his maximum
8. Continuity - Re-organization is a continuous process: in every undertaking specific provision should be made for it. The organization should be amendable according to

the changing situations. Everyday there are changes in methods of production and marketing systems. The organization should be dynamic and not static. There should always be a possibility of making necessary adjustments

9. Principle of Simplicity: The organizational structure should be simple so that it is easily understood by each and every person. The authority, responsibility and position of every person should be made clear so that there is no confusion about these things. A complex organizational structure will create doubts and conflicts among persons.
10. Principle of Efficiency: The organization should be able to achieve enterprise objectives at a minimum cost
11. Principle of Uniformity
12. Principle of Unity and Command: a person should be answerable to one boss only. If a person is under the control of more than one person then there is a like-hood of confusion and conflict. He gets contradictory orders from different superiors
13. Scalar Principle: refers to the vertical placement of supervisors starting from top and going to the lower level. The scalar chain is a pre-requisite for effective and efficient organization

Bureaucracy - Albrow (Chapters 2 and 3)

FEB 19 NOTES

Bureaucracy

- *Elementi di scienza politica (The Ruling Class)*
- *Gaetano Mosca, 1895 – Criticism of the traditional classification of governments*
- The Ruling Class and the Ruled Class
- Types of Government
    - Feudal - simple in structure. Any member of it could exercise economic, judicial, administrative or military functions and each could exercise direct and personal authority over a member of the ruled class
    - Bureaucratic - functions were sharply separated from each other and became the exclusive activities of particular sections of the ruling class. A portion of national wealth was allocated to a body of salaried officials, a bureaucracy

The Theory of Organization

By: Max Weber

- Organization - signified an ordering of social relationships, the maintenance of which certain individuals took as their special task
- The existence of a distinctive set of rules governing behavior was intrinsic to the concept of an organization

- 5 Related beliefs on which legal authority depended
    - That a legal code can be established which can claim obedience from members of the organization
    - That the law is a system of abstract rules which are applied to particular cases, and that administration looks after the interests of the organization within the limits of that law
    - That the man exercising authority also obeys this impersonal order
    - That only qua member does the member obey the law
    - That obedience is due not to the person who holds authority but to the impersonal order which has granted him this position
- 8 propositions about the structuring of legal authority systems
    - Official tasks are organized on a continuous, regulated basis
    - These tasks are divided into functionally distinct spheres, each furnished with the requisite authority and sanctions
    - Officers are arranged hierarchically, the rights of control and complaint between them being specified
    - The rules according to which work is conducted may be either technical or legal. In both cases trained men are necessary.
    - The resources of the organization are quite distinct from those of the members as private individuals
    - The office holder cannot appropriate his office
    - Administration is based on written documents and this tends to make the office (Bureau) the hub of the modern organization
    - Legal authority systems can take many forms, but are seen at their purest in a bureaucratic administrative staff
- 10 defining characteristics of the bureaucratic administrative staff
    - **Weber never defined bureaucracy**
    - The staff members are personally free, observing only the impersonal duties of their offices
    - There is a clear hierarchy of offices
    - The functions of the offices are clearly specified
    - Officials are appointed on the basis of a contract
    - They are selected on the basis of a professional qualification, ideally substantiated by a diploma gained through examination
- The Limits of Bureaucracy
    - Collegiality - a collegial body is responsible for making decisions. Speed of decision-making is slow due to different, sometimes contradicting ideas
    - Separation of powers- dividing responsibility for the same function between two or more bodies

- Amateur administration - dependent upon those who had the resources to permit their spending time in unremunerated activity
- Direct democracy - for ensuring that officials were guided directly by, and answerable to, an assembly. Short term of office, selection by lot, permanent possibility of recall
- Representation - members were selected by vote and were free to make decisions and share in authority over those who had elected them

Feb 26 Notes

Administrative Rationality

Continuity of administration, hierarchy and files
AL Stinchcombe - argues that the occupational standards of the various craft institutions are the most efficient way of ensuring high quality work
Example: construction industry, social welfare services, coal industry

1. Centralization of control and supervision
2. Differentiation of functions
3. Qualification for offices
4. Objectivity
5. Precision
6. Continuity
7. Secrecy

Different situations require different administrative structures

HAWTHORNE INVESTIGATION

- Conducted for 5 years (1927-1932)
- Led by Elton Mayo and Fritz Roethlisberger of the Harvard Business School were invited to join in the studies

1. Illumination Experiment
2. Relay Assembly Test Room Experiment
3. Interviewing Program
4. Bank Wiring Test Room

Contributions of the Hawthorne Experiment

1. A business organization is basically a social system. It is not just a techno-economic system

2. The employer can be motivated by psychological and social wants because his behavior is also influenced by feelings, emotions and attitudes. Thus economic initiatives are not the only method to motivate people
3. Management must learn to develop co-operative attitudes and not rely merely on demand
4. Participation becomes an important instrument in human relations movement. In order to achieve participation, effective two-way communication network is essential
5. Productivity is linked with employee satisfaction in any business organization. Therefore management must take greater interest in employee satisfaction
6. Group psychology plays an important role in any organization. Management must therefore rely more on informal group effort
7. The neo-classical theory emphasizes that man is a living machine and he is far more important than the inanimate machine. Hence, the key to higher productivity lies in employee morale. High morale results in higher output

Original hierarchy of needs five-stage model includes:

1. Biological and Physiological needs
2. Safety needs
3. Love and belongingness needs
4. Esteem needs
5. Self-actualization needs

One must satisfy lower level deficit needs before progressing on to meet higher level growth needs. Growth needs continue to be felt and may even become stronger once they have been engaged. Once these growth needs have been reasonably satisfied, one may be able to reach the highest level called self-actualization

Herzberg
McLeland
Argyris
McGregor
Readings in Human Behavior in Organization

Cuts - I

- Feb 24

MARCH 3

Motivating factors

- Achievement: a job must give an employee a sense of achievement. Will provide a proud feeling of having done something difficult but worthwhile
- Recognition: a job must provide an employee with praise and recognition of their successes. Should come from both their superiors and their peers
- The work itself: The job itself must be interesting, varied, and provide enough of a challenge to keep employed
- Responsibility: employees should own their work
    - Should hold themselves responsible for this completion and not feel as though they are being micromanaged
- Advancement: promotion opportunities should exist for the employee
- Growth: The job should give employees the opportunity to learn new skills
    - Can happen either on the job or through more formal training

Hygiene factors

- Company policies: should be fair and clear to every employee
    - Must also be equivalent to those of competitors
- Supervision must be fair and appropriate
    - Should be given as much autonomy as is reasonable
- Relationships: there should be no tolerance for bullying or cliques
    - A healthy, amiable, and appropriate relationship should exit between peers, superiors, and subordinates
- Work conditions: Equipment and the working environment should be safe, fit for purpose, and hygienic
- Salary: should be fair and reasonable. Should also be competitive with other organizations in the same industry
- Status: Organization should maintain the status of all employees within the organization. Performing meaningful work can provide a sense of status
- Security: It is important that employees feel that their job is secure and they are not under the constant threat of being laid-off

Two-step Process to Increase Motivation

1. Eliminate Job Hygiene Stressors

- The first step to enhancing the motivation of your team is to ensure that the hygiene factors are not causing dissatisfaction
- Each person will examine hygiene factors through their own unique frame of reference. Because of this, it's important to work with each member of your team to understand their specific perspective

2. Remove hygiene stressors

- Rectify petty and bureaucratic company policies
- Ensure each team member feels supported without feeling micromanaged. You can do this by using servant leadership or a democratic leadership style
- Ensure the day to day working culture is supportive. No bullying. No cliques. Everyone treated with equal respect.

Ensure that salaries are competitive within the industry. Ensure there are no major salary disparities between employees doing similar jobs.

To increase job satisfaction and status

3. Boost Job Satisfaction

- Once hygiene stressors have been removed, the next step is to boost the job satisfaction of each team member
- Can be done by improving the actual content of the job itself
    - Job Enrichment - enriching a team member's job by giving them more challenging or complex tasks to perform. These more complex tasks should make the job more interesting
    - Job Enlargement - means giving a team member a greater variety of tasks to perform. This variety can also make a job more interesting
    - Employee Empowerment - means delegating increasing responsibility to each team member. This can be done by slowly increasing the amount of responsibility delegated to an employee

Limitations of the Theory

- Only applies to white collar workers
- Doesn't take an individuals situation or perception into consideration. We have attempted to address this above by applying the theory at an individual level
- The theory focuses on improving employee satisfaction. That doesn't necessarily translate into increased productivity
- No objective way to measure employee satisfaction within the theory
- Two Factor Theory is subject to bias

MARCH 5 NOTES

Implications

- Theory X workers, achieve organizational objectives, and rewards of varying kinds are likely to be the most popular motivators. The challenge for management with Theory

Y workers is to create a working environment (or culture) where workers can show and develop their creativity

MODERN

Personality and Organization

Chris Argyris

- Focuses on maturity – explore maturity in personal and organizational settings
- Makes clear distinctions between what it means to be mature and what it means to be immature
- Maturity and immaturity are considered a continuum, but offering a comparison of "opposites" makes it easier to understand and differentiate
- One of the several theories that seek to explain the nature of human behavior
- According to this theory, the development of a person goes from a situation of immaturity to a situation of maturity
- A mature person is characterized by being active, independent, self-confident and self-controlled
- Managers who treat people positively and who are responsible adults will achieve the highest productivity
- He thought that the common problems of employees avoiding work, showing lack of interest and low morale, may be signs of a mismatch between managerial practice and the mature adult personality
- His solution to the problem is to broaden job responsibilities, allow for more variety of tasks, and adjust supervisory styles to allow greater participation and promote better human relationships
- Autonomous relationships that function (in terms of job specialization, chain of command, level of delegation, level of control, etc.) often act as a deterrent for employees to naturally achieve a high level of maturity within the organization
- Organizations often expect their employees to be passive, dependent, have a short-term perspective, and produce without requiring a high level of control. According to Argyris, when an employee with a high level of maturity is before a situation like this, they tend to adopt one of three attitudes:
    - Escape: It is reflected in resignation, absenteeism, etc
    - Fight: Through structures such as trade unions or even through an informal organization
    - Adaptation: This is the most common reaction and consists of developing an attitude of apathy and indifference, in which the monthly salary represents compensation for the punishment

7 Changes within the personality in Argyris theory

1. People go from passivate state to a state of increasing activity as adults
- Passive → Active
- Instead of just doing what employees are told to do and nothing else, they start to be more active, they take more initiatives on their own
- Being proactive in starting a new project or going beyond what is asked of an employee is a good indicator of maturity

2. Individuals develop from a state of dependence or a state of relative interdependence when they are adults.
- Dependency → Independence
- An adult may already be independent in many aspects of their lives, independence at work is also important and therefore an indicator of maturity
- Independence is not mutually exclusive with teamwork, rather, it refers to being able to work, alone or in a group, but always contributing significantly, with some freedom of action

3. Individuals with restricted behaviors in their immaturity, as adults, are capable of behaving in many ways (they are adaptable)
- Behave in various ways → Behave in many ways
- People are more flexible and adaptable
- Humans are exposed to more situations and have more experiences
- This flexibility translates into being able to do a job well but also helping out when something other than what is supposed to be done is needed or required
- Understand and accept that variations are part of normality

4. People have erratic, casual and superficial interests when they are immature, but they develop deeper and more direct interests when they are adults
- Informal and shallow interest → Deeper and stronger interests

5. An immature's time perspective is very short, involving only the present, but as they mature, their time perspective increases to include the past and the future
- The perspective of time includes only the present → Perspective of time also implies the past and the future

6. Immature people are subordinate, as adults they move to equal or superior positions with others
7. As immature, people lack awareness of a "self" but as adults they are not only aware, but are also capable of self-management

<u>March 10 Notes</u>

Equity Theory of Motivation - J. Stacey Adams

- The equity theory of motivation states a person's motivation is directly related to their perception of equity or level of fairness

- A person becomes more motivated when a person perceived fairness is high and demotivated when a person perceive unfairness
- People expect things like effort to result in achievements like higher salary
- Typically used in the workplace as a management technique
- The same theory is applicable to an individual's self-motivation, even outside the work environment

Equity/Fairness References

- **Self-inside:** compare current experiences to past experiences inside the same organization or group
- **Self-outside:** Compare current experiences to past experiences outside the organization or group
- **Other-inside:** Compare current experiences to the experiences of another person inside the same organization or group
- **Other-outside:** Compare current experiences to the experiences of another person outside the organization or group

Inputs that Affect Equity and Motivation

- Effort: The amount of time one invests in a person, project, or organization
- Communication: The level of engagement one shows to people, projects, or organizations
- Enthusiasm: The excitement one or others show towards people, project, or organizations
- Experience: The amount of experience that one bring to a project or role
- Personal Sacrifice: Selflessness by putting the priorities of others over one's own
- Loyalty: The demonstrated level of allegiance one shows towards other people or organizations
- Flexibility: The ability of the individual to take things in stride and adapt in light of new situations
- Monetary compensation: Salary, bonus, pension, stock options, increased revenue, and more
- Increase in free time: The ability to spend time as seen fit, such as creating a lifestyle business or getting extra vacation days at work
- Recognition and accomplishment: the feeling of self-worth and that one's work is meaningful
- Learning: The chance to learn new skills and gain greater life experiences

Assumptions

- Inputs and outputs are highly correlated
- People have the capability to achieve their desired outputs
- People are rewarded for good performance on a regular basis
- Reward systems are fair and just across people and organizations

- People assess their motivation continuously and course correct when necessary

ERG Theory

Goal Setting Theory of Motivation - Edwin Locke

- Goal setting is essentially linked to task performance
- Specific and challenging goals along with appropriate feedback contribute to higher and better task performance
- Goals indicate and give direction to an employee

Features

March 12 Notes

Needs/Achievement Motivation Theory – David McClelland

- Human behavior is affected by 3 needs
    - Need for achievement is the urge to excel, to accomplish in relation to a set of standards, to struggle to achieve success
    - Need for power is the desire to influence other individual's behavior as per one's wish.
        - The desire to have control over others and to be influential
    - Need for affiliation is a need for open and sociable interpersonal relationships. In order words, it is a desire for relationship based on co-operation and mutual understanding
    - Individuals with high achievement needs are highly motivated by competing and challenging work. They look for promotional opportunities in job. They have a strong urge for feedback on their achievement. Such individuals try to get satisfaction in performing things better. High achievement is directly related to performance
    - Individuals who are better and above average performers are highly motivated. They assume responsibility for solving the problems at work
    - Individuals who are motivated by power have a strong urge to be influential and controlling. They want that their views and ideas should dominate and thus, they want to lead

Reinforcement Theory of Motivation – Burrhus Frederic Skinner

- Focuses totally on what happens to an individual when he takes some action
- The external environment of the organization must be designed effectively and positively so as to motivate the employee
- A strong tool for analyzing controlling mechanism for individual's behavior
- However, it does not focus on cause of individual's behavior
- Positive Reinforcement – implies giving a positive response when an individual shows positive and required behavior

        - Ex: immediately praising an employee for coming early for job
        - Increase probability of outstanding behavior occurring again
        - Positive reinforcer
- Negative Reinforcement

March 17

Modern Theories of Management

- Represent ideas that provide recommendations for management strategies, frameworks and tools that organizations can implement to aid their workforce or culture
- Leaders can use these theories as guidance to meet organizational goals or motivate employees